EV Battery Industry Report 2026

Key Findings

Global lithium-ion battery demand grew by an estimated 28 percent this year, driven primarily by electric vehicles and grid storage. Average pack prices fell below $100 per kilowatt-hour for the first time in several major markets.

Sodium-ion chemistries moved from pilot lines into early commercial production. While energy density remains lower, cost and supply-chain resilience make them attractive for entry-level vehicles.

Supply Chain

Refining capacity remains concentrated in a small number of countries. Several automakers announced long-term offtake agreements to secure nickel, lithium, and graphite supply through the end of the decade.

Outlook

We expect continued price declines of five to eight percent annually through 2028. Solid-state batteries are unlikely to reach mass-market vehicles before the end of the decade, though limited premium launches are expected.

Recycling will become a meaningful source of material supply after 2030, as the first large wave of electric vehicle batteries reaches end of life.